struck independently and were named the 'Hali sicca'. Paper currency was only issued in 1918, under the Hyderabad Currency Act. The new currency was denominated the Osmania Sicca and printed in denominations of 1, 5, 10, 100 and 1,000. After the accession of Hyderabad in 1949, the Osmania Sicca remained in use until 1957, when it was replaced with Indian currency. A grace period of two years was given for exchange, and the Osmania Sicca was finally demonetized in 1959.

1961 The Portuguese retained the territories of Goa and Daman and Diu in India till 1961. Paper currency in the Portuguese territories was called the 'Rupia' and was issued in denominations of 5, 10, 20, 50, 100 and 500. The monetary system consisted of Reis, the Tanga and the Rupia, with one Rupia consisting of 16 Tanga. From 1906 onwards, the Banco Nacional Ultramarino issued currency for the Portuguese territories in India. In 1959, the denominational unit was changed from the Rupia to the Escudo, with 1 Escudo consisting of 100 Cent avos. The Escudo remained in circulation till 1961, when Goa was annexed to the Indian Union. It was then demonetized and replaced by the Indian rupee.

Demonetization of Coins

In 1957, another technical demonetization took place – this time of coins, when India adopted a metric system for coinage.

Earlier the rupee consisted of 16 annas or 64 pice (1 anna = 4 pice). In September 1955, the Indian Coinage Act was amended, dividing the rupee into 100 'paisa'. The rupee however, remained unchanged in value and nomenclature. The Act came into force with effect from 1 April 1957, when the old coins were demonetized. For ease of public recognition, the new decimal paisa was termed as 'Naya Paisa' and issued in denominations of 1, 2, 3, 5, 10, 25, 50 naye paise and 1 rupee. In June 1964, the term 'Naya' was dropped.